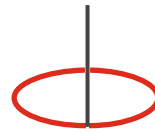


Re-initiating Coverage

20th October 2022



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With increase in its size (AUMs INR 528 bn), IIFL Finance (IIFLF) has become one of the top 10 NBFCs having 95% of retail assets on its books including affordable home loans, gold loans, MFI loans and business loans. Currently, it has nationwide presence with ~3595 branches across 1260+ towns/cities. The company has revamped its strategy over the years to make businesses more granular, diversified, secured and more importantly less riskier. Hence, share of high risk-high NPL sector viz. commercial estate loans & capital market loans is reduced down to meagre 6% now from 16.4% in FY19. Going forward, we expect strong AUM growth of 24% CAGR during FY22-25e. In our view, next phase of growth will be sharp; potential AUMs can double in next 3-4 years time given it has branches, people, technology, management bandwidth already in place, (which otherwise it took 10-12 years to reach same level of growth). We expect healthy PAT growth of 32% (FY22-25e) and return ratios (ROE/ROA of 21.6%/3.1% in FY23e). Given undemanding valuations, we re-initiate a coverage on IIFL Finance with revised TP of INR 483, discounting FY25e ABV by 1.6x, upside of 36% from current levels

Home loan business enjoys ROA of 3.5% and ROE of 24% (FY22) - Current AUM (INR 186 bn) in home loan business is nearly 4x the size of Home First and Aptus and next only to Can Fin Homes. Recently, in June 2022, Abu Dhabi Investment Authority (ADIA) bought 20% stake in the IIFL Home Finance at price of INR 22 bn i.e. valuing the home loan business at INR 110 bn vs. entire mkt cap of IIFL Finance being at INR 134 bn – depicting huge gap of under-valuations for IIFL Finance

Financial Summary (Rs mn)

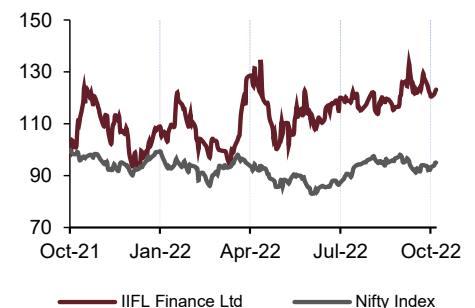
Y/E Mar (Rs.mn)	FY21	FY22	FY23E	FY24E	FY25E
NII	27,954	32,039	37,049	45,460	55,377
PAT	7,608	11,883	15,470	20,901	27,590
ABV	134	155	188	237	302
EPS	20	31	41	55	73
P/ABV (x)	2.6	2.3	1.9	1.5	1.2
P/E (x)	17.6	11.3	8.7	6.4	4.9
ROA (%)	2.0	2.7	3.1	3.5	3.7
ROE (%)	15.0	20.0	21.6	23.7	24.9

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	483	36

Market data

Current price	Rs	355
Market Cap (Rs.Bn)	(Rs Bn)	135
Market Cap (US\$ Mn)	(US\$ Mn)	1,638
Face Value	Rs	2
52 Weeks High/Low	Rs	396 / 266
Average Daily Volume	('000)	618
BSE Code		532636
Bloomberg		IIFL.IN
Source: Bloomberg		

One Year Performance


Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	24.9	24.9
Public	75.1	75.1
Total	100	100

Source: Bloomberg

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Direct assignment - profitable business model - One of the reasons for higher return ratios is nearly 39% of loan book is either securitized or assigned or wherein the lending is done via co-lending model. Nearly home loans and MFI loans are assigned or securitized which qualify for priority sector lending category for typical buyers of such loans viz. PSU and private banks. This also frees up the capital for future growth

Valuations

Going forward, we expect PAT to grow at 32% CAGR during FY22-25e led by higher asset growth of 24%, better margin profile and stable asset quality mix. We expect ROE/ROA to improve to 21.6%/3.1% in FY23e from 20%/2.7% in FY22 (calculated). Given superior profile on all the counts, it is trading at very undemanding valuations of 1.9x/1.5x/1.2x on FY23e/FY24e/FY25e ABV. While it peers are trading at much higher valuation multiples. What we more like about the business model of the company is – it is diversified and present in all high growth segments which are more retail driven assets. We re-initiate a coverage on IIFL Finance with revised **TP of INR 483**, according target multiple of 1.6x on FY25e ABV, upside of ~36% from current levels.

Investment Arguments

Current AUM profile is more diversified, secured and retail driven and has less riskier assets

IIFL Finance has seen a sea-change in its AUM profile over the years; from unsecured riskier loan segments to more secured & granular retail oriented driven loans led by affordable housing loans, gold loans, micro-finance & business loans. Share of riskier commercial estate loans & capital market loans, which formed ~16.4% share in FY2019 and also faced higher NPLs has now come down to 6% by Q1FY23. In addition to this, secured loan book is witnessing increasing share in loan book pie for .e.g. home & gold loans share has increased from 48% in FY18 to 66% in FY22 (discontinued business viz. CV portfolio is not been considered). Currently, retail assets form nearly 95% of the total AUMs. More importantly, assets are diversified at pan-India level where it will have added advantage vs. regional concentration of other players.

Affordable home loans have 35% share in the total AUMs, gold loans 32% share, business loans ~15%, MFI loans 12% (Q1FY23). These are low-ticket sized sticky assets which take enormous amount of efforts to build such assets. Over last 4 years, home loans has witnessed 2x growth, gold loans 4x growth and MFI loans 7x growth.

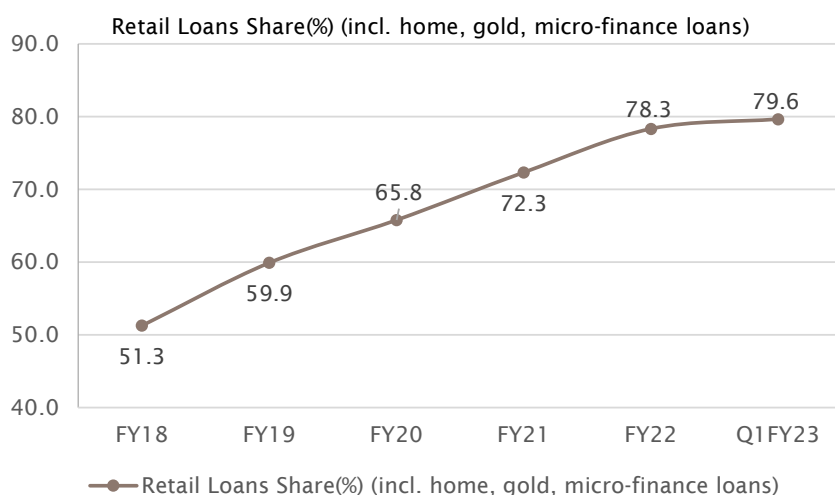
AUM Details of IIFL Finance

(Rs.mn)	FY19	FY20	FY21	FY22	FY23e	FY24e	FY25e
Home Loans	1,21,970	1,24,430	1,44,390	1,77,270	2,21,588	2,76,984	3,37,921
Gold Loans	61,950	91,250	1,31,490	1,62,280	2,02,850	2,53,563	3,09,346
Business Loans	81,170	78,050	74,640	75,590	98,267	1,27,747	1,59,684
Micro-finance loans	22,860	34,000	47,380	61,550	83,093	1,08,020	1,37,186
CRE Loans	50,550	47,270	42,350	28,990	26,091	23,482	21,134
Capital Mkt Fin. Loans	6,600	4,510	6,630	6,420	6,548	6,679	6,813
Total AUMs	3,45,100	3,79,510	4,46,880	5,12,100	6,38,436	7,96,475	9,72,083
% growth	FY19	FY20	FY21	FY22	FY23e	FY24e	FY25e
Home Loans	42.2	2.0	16.0	22.8	25.0	25.0	22.0
Gold Loans	53.5	47.3	44.1	23.4	25.0	25.0	22.0
Business Loans	10.3	-3.8	-4.4	1.3	30.0	30.0	25.0
Micro-finance loans	172.1	48.7	39.4	29.9	35.0	30.0	27.0
CRE Loans	16.1	-6.5	-10.4	-31.5	-10.0	-10.0	-10.0
Capital Mkt Fin. Loans	-37.9	-31.7	47.0	-3.2	2.0	2.0	2.0
Total AUMs	31.5	10.0	17.8	14.6	24.7	24.8	22.0
% Share	FY19	FY20	FY21	FY22	FY23e	FY24e	FY25e
Home Loans	35.3	32.8	32.3	34.6	34.7	34.8	34.8
Gold Loans	18.0	24.0	29.4	31.7	31.8	31.8	31.8
Business Loans	23.5	20.6	16.7	14.8	15.4	16.0	16.4
Micro-finance loans	6.6	9.0	10.6	12.0	13.0	13.6	14.1
CRE Loans	14.6	12.5	9.5	5.7	4.1	2.9	2.2
Capital Mkt Fin. Loans	1.9	1.2	1.5	1.3	1.0	0.8	0.7
Total AUMs	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: Company, D&B Research

Source: For the year FY19, healthcare medical equipment finance book is not considered

Chart 1: Share of retail loans (home loans, gold loans, MFI loans) has increased from 51.3% in FY18 to 79.6% in Q1FY23



Source: Company, D&B Research

Note: For the year FY18 & FY19, CV and medical equipment financing is not considered

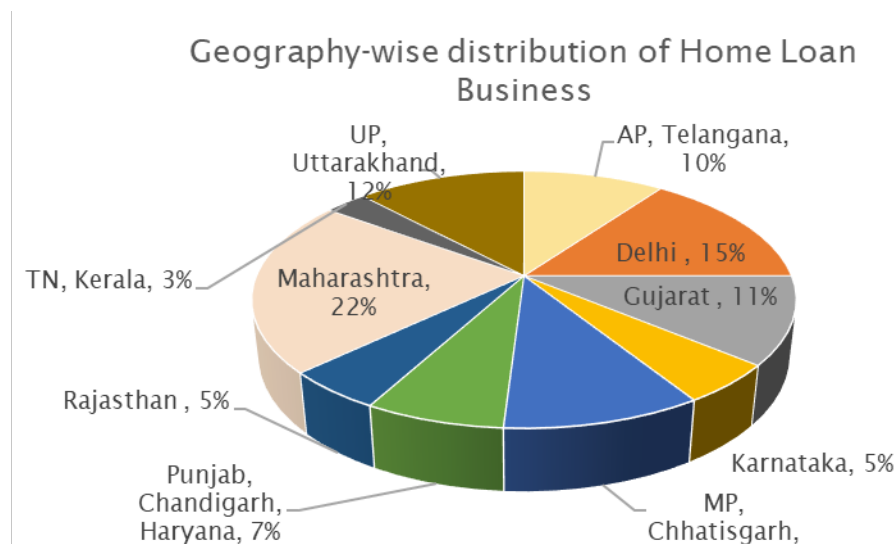
Let's understand its loan book profile more in detail –

Home Loans (35% share in total AUMs)

Home loans business is done via subsidiary namely IIFL Home Finance Ltd (IIFLHF). This entity was incorporated in Feb 2009, is registered housing finance company providing affordable housing loans & small ticket sized loans against property, construction finance primarily for green or affordable housing. Parent company holds 79.6% stake. It is one of the most profitable among the affordable housing finance companies in the industry – it enjoyed ROA of 3.5% and ROE of 24% in FY22. Recently, in June 2022, Abu Dhabi Investment Authority (ADIA) bought 20% stake in the IIFL Home Finance at price of INR 22 bn i.e. valuing the home loan business at INR 110 bn vs. entire mkt cap of IIFL Finance being at INR 134 bn.

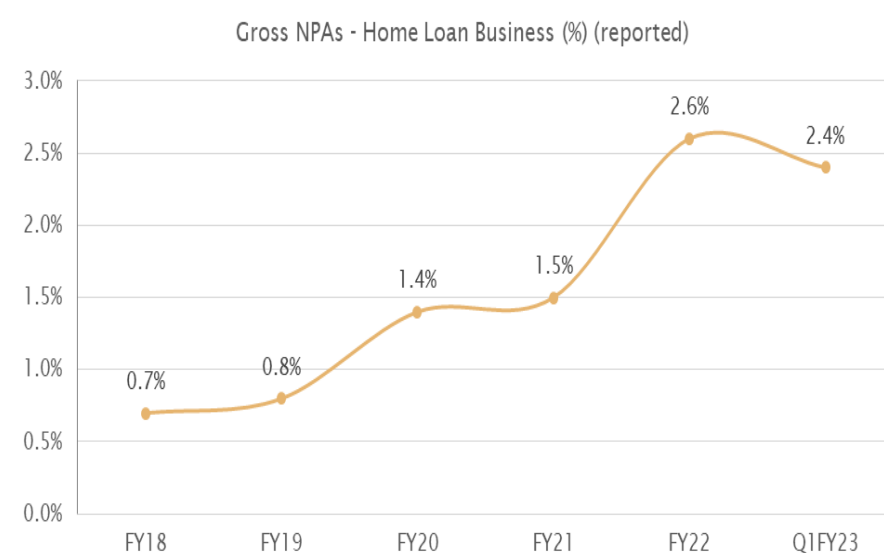
The average ticket size of the home loans business ~15.6 lacs. Home loan AUMs is growing at the CAGR of 27% over the last 5 years. Portfolio yields in this segment is at 10.4% and GNPA at 2.4%. Importantly, nearly 3/4th of the home loans qualify for the PSL category wherein it further securitised or assigns the loans to other PSU & private banks.

Home loans are spread across pan-India level with more focus on Tier II & Tier III cities. Avg. value of the properties against which lending is done is ~20-25 lacs wherein the LTVs are ~70%. Apartment based loans comprise of 85% of the total loans and rest 15% is self-constructed homes. Current loan book is largely seasoned now with avg. tenure in books being at 7-8 years.

Chart 2: Geography-wise distribution of the home loan business

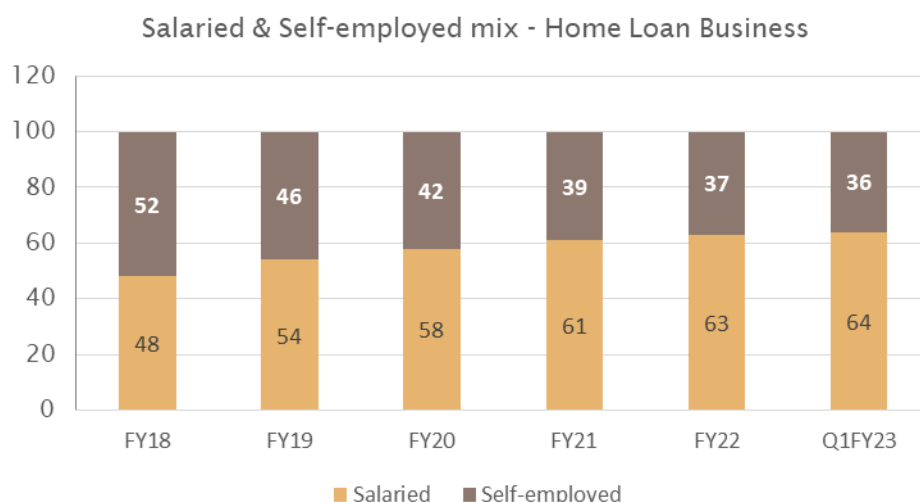
Source: Company, D&B Research

Chart 3: Gross NPL (Home loan business) (reported numbers) – There was rise in gross NPLs in FY22 to 2.6% vs. 1.5% in FY21 largely due to change in the RBI regulations. Barring this effect, gross NPL for FY22 period is at 1.8%



Source: Company, D&B Research

Chart 4: Salaried & self-employed mix – Home Loan Business – Nearly 64% of the AUMs comes from salaried professionals and balance 36% from self-employed ones



Source: Company, D&B Research

Relative peers – Customer profile of IIFL Home loans is notch better than Home First & Aptus

IIFL's home loans has gained considerable size and stature in affordable housing market. Home loan AUMs (INR 186 bn) is nearly 4x the size of Home First and Aptus and next only to Can Fin Homes which has AUM size of INR 275 bn. Home First & Aptus are also more into lower end of income class group (with avg. ticket size (ATS) of the loans ~INR10-11 lacs) where the competition intensity is relatively less. Can Fin Homes lends to slightly higher end segment wherein (ATS ~INR 20 lacs) competition intensity is higher from banks and other NBFCs. While IIFL Finance operates in the median level of above two companies i.e. it has ATS of ~INR15.6 lacs where the relative competition is less as banks don't operate in this segment. IIFL Home Finance segment generates ROA/ROE of 3.5%/24% (FY22) which ahead of its peers Home First 3.6%/12.8%, Aptus 8%/11.8% and Can Fin Homes being at 2.7%/20.5%.

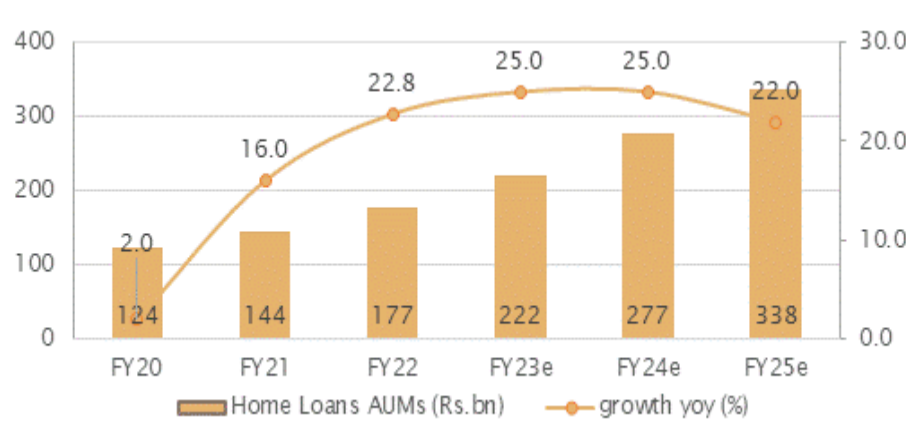
Table: Relative comparison of the IIFL Home Loans vs. other NBFCs (reported numbers)

Company (FY22/Q1FY23)	AUMs (Rs.bn)	Avg. ticket size of the loans (in lacs)	Branches	States/ Districts covered	No. of employees	Customers	ROA (%) FY22/Q1FY23	ROE (%) FY22/Q1FY23
Home First	58	10.7	93	13 States / 102 Districts	905	65254	3.6% / 3.9%	11.8% / 12.8%
Aptus	55	<10	211	5 States	2270	83000	8% / 8.9%	14.5% / 15.6%
Can Fin Homes	275	~20	187	21 States / 167 Districts	909	560000	2.1% / 2.4%	15.4% / 20%
IIFL Finance (Consol)	528	-	3595	22 States / 1260 cities	~28400	~850000	2.7% / 2.9%	20.6% / 20.5%
IIFL Home Loans	186	~15.6	268	16 States	3200		3.5%	24%

Source: Company, D&B Research

Growth expected going forward - This segment has witnessed 27% CAGR growth over the last 5 years. Given under-penetration in this segment and vastly untapped market, growing at higher rates in will not be a concern, in our view. We expect 24% CAGR growth in home loans AUMs over the next 3 years' time FY22-25e.

Chart 5: We expect the loan to grow at 24% CAGR over the next 3 years time during FY22-25e

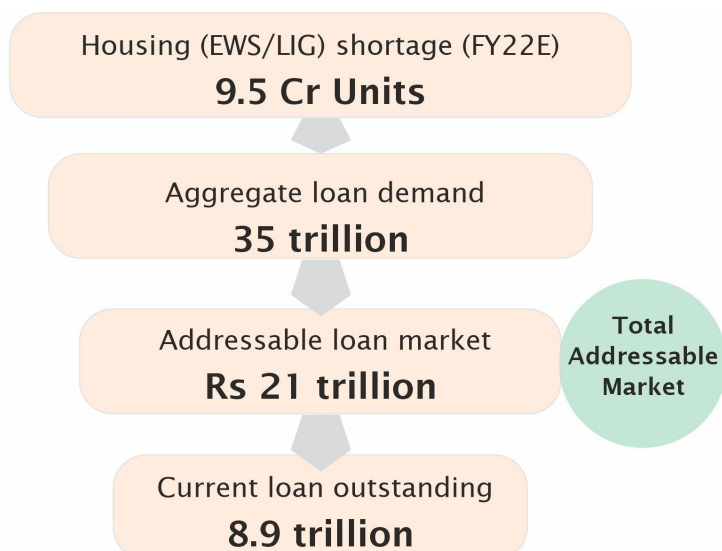


Source: Company, D&B Research

➤ Market opportunity in affordable housing market

We like the fact that, the company is present in high growth affordable housing market segment. Affordable home loans with average ticket size of loans in the range of ~INR 1-2 mn is growing at very fast pace and is vastly under-penetrated. Going forward, market opportunity in affordable housing market is huge; which is anticipated to touch to INR 13 trillion by FY25 from current INR 9 trillion. Also, by 2030, 41% of the India's population is expected to reside in urban areas. **Companies that have ventured early into this segment will have early mover advantage who have experienced & tested markets, realigned the strategies like IIFL Finance.**

Chart 6: Addressable market



Source: Company, D&B Research

➤ Branch Visit at Badlapur Home Loan Branch

We visited the home loan branch at Badlapur, located in the outskirts of Thane district. Feedback that we got from the branch officer is – there is strong demand for housing loans at the ground levels. Lending is done to low income or middle class income group levels. Customers are usually first-time home loan buyers and are into the businesses like kiriyana store, hardware shop, any retail shop, carpenters, rickshaw drivers and salaried professionals. Here, the NBFC has done the tie-up with the builders & residential real estate developers where it gets direct access to the customers who are willing to buy homes. Usually, there are hardly any branch visits, customers are usually acquired via builders. Average LTV is ~70% and FOIR is 60-65%. Average interest rate offered to client is 8-13%.

Gold loans (32.5% share in total AUMs)

Current AUMs in gold loan portfolio is at INR 171 bn which has grown at 38% CAGR during the period FY19-22. Of the total gold loans, 70% loans are given for business purpose, 20% for consumption purpose and rest 10% are distress financing. These gold loan portfolio is spread across Pan-India level covering 1313 towns & cities. **The company's better reach & distribution is the key plus vs. other players having regional geographical concentration.**

The company equips its employees with loan origination tablet application equipped to screen customers for earlier defaults, frauds and negative customer lists. Avg. tenure of the loans is ~2 years, avg. ticket size of ~63000 and LTVs are at ~70% levels. Gold loan branches have pan-India presence covering 1313 towns & cities. Portfolio yields is at 17.2% and GNPA's of ~0.9%.

Growth – Gold loan AUMs have witnessed 38% CAGR growth during FY19-22 period while, going forward, we expect gold loan AUMs to grow by 24% CAGR during FY22-25e. In the last 5 years, gold loan branch network of the company has doubled from 1036 in FY18 to 2455 currently.

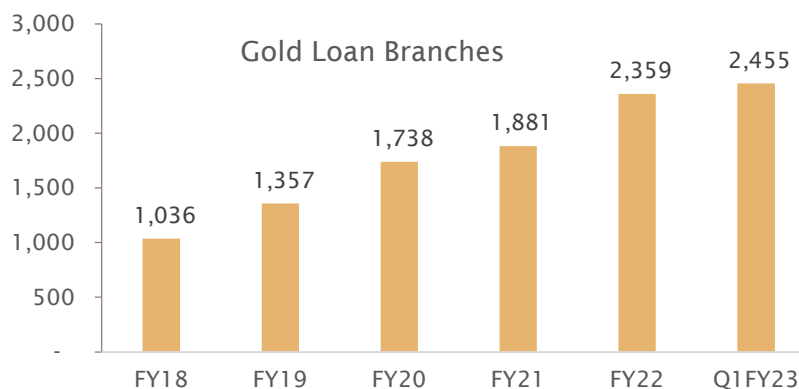
Next leg of growth will kick in from this future branch expansion as well. In addition to this, going forward the strategy to grow business will be led by 1) build-on co-lending/BC partnerships (Canara Bank, DCB, Union Bank, Shivalik SFB, DBS) 2) grow customer base with partnerships (Airtel, Gpay) 3) focus on SME cross-sell to supplement core business

Chart 7: Gold loan AUMs are likely to grow at CAGR of 24% CAGR over FY22-24e



Source: Company, D&B Research

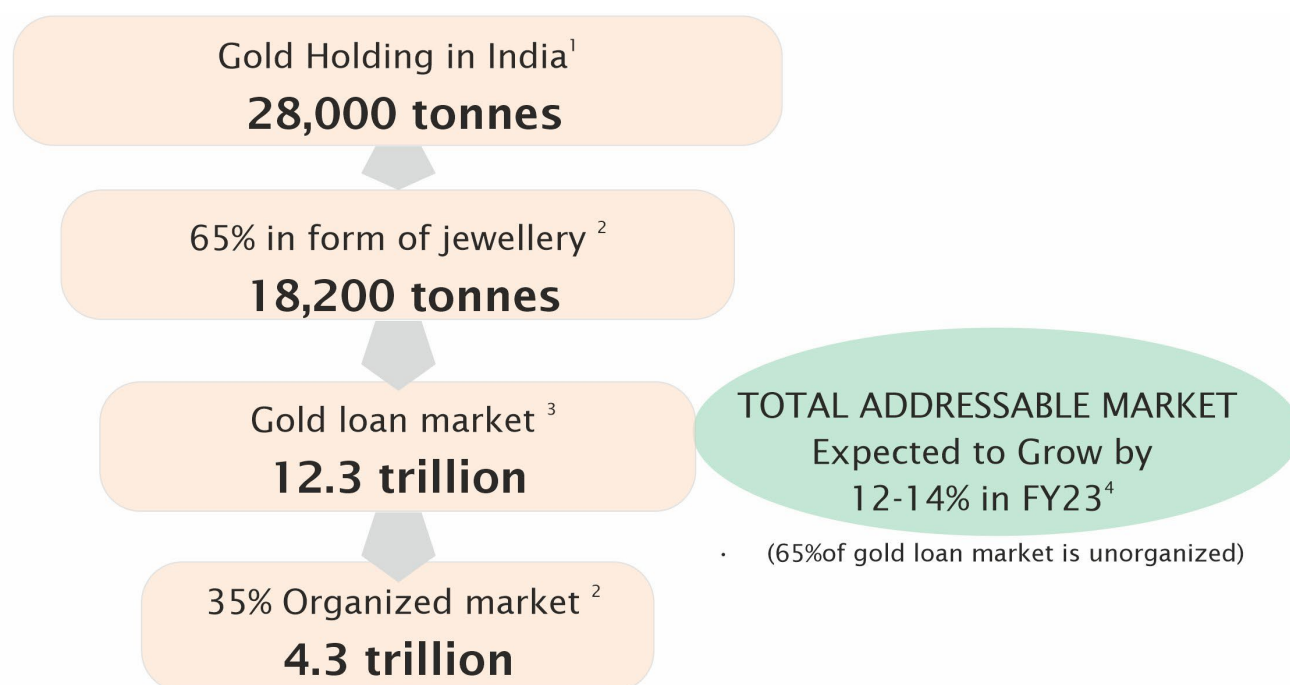
Chart 8: Gold loan branches have nearly more than doubled in last 5 years time



Source: Company, D&B Research

➤ Market opportunity in gold loan financing

Total addressable market is INR ~12.3 trillion which is likely to grow by 12-14% in FY23. Of this, only 35% of the gold loan financing is done through organized market while rest 65% is unorganised market. Demand is driven by 1) higher demand at the ground level 2) shift from organized market to unorganized market benefiting organized players. Off late, there has been increased competition in this space as all the banks, NBFCs are chasing gold loan business given better yields and lower NPAs. **In our view, in the longer run, the ones who having considerable size and experience, invested in network, people & technology, have strong visibility and brand recall, will immensely benefit; IIFL Finance is one of them.**

Chart 9: Addressable market of gold loan financing

- Source (*)
- 1. World Gold Council Report
- 2. Return of gold financiers in India's organized lending market, KPMG in India, Jan'20
- 3. Gold Financing Sector Outlook, CLSA, Sep'21
- 4. NBFC Report 2021, CRISIL Research

Source: Company, D&B Research

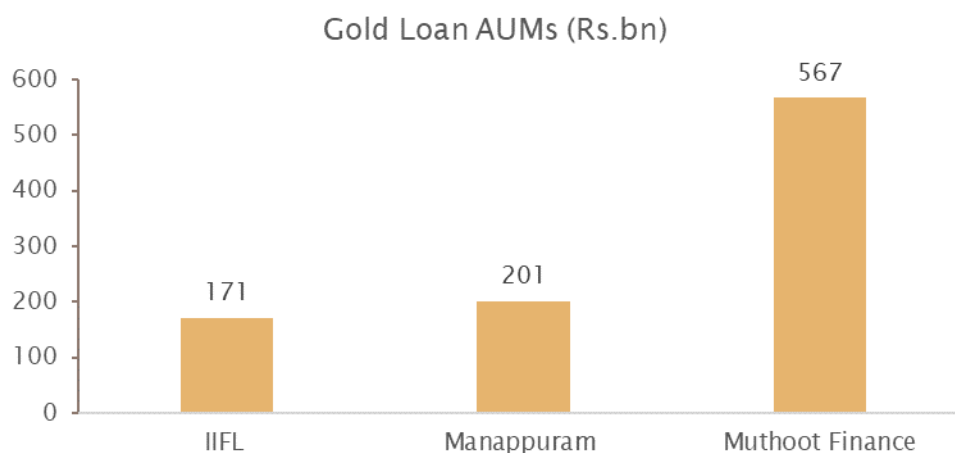
➤ Peer comparison of IIFL Gold Business vs. Manappuram & Muthoot Finance

IIFL Gold loan business has reached a decent size – its current AUM is at INR 171 bn vs. Manappuram Finance INR 201 bn and Muthoot Finance INR 567 bn (Q1FY23). Its business size is reaching almost close to Manappuram Finance which has existence since many years. Geography distribution also has gained considerably traction over the years – its total branch network is at 2455 vs. Manappuram branches at 3844 vs. Muthoot Finance 4600 (Q1FY23). Current AUMs per branch of IIFL is at INR 70 mn vs. Muthoot INR 110-120 mn implying operating leverage benefit still exists in current branches of the company.

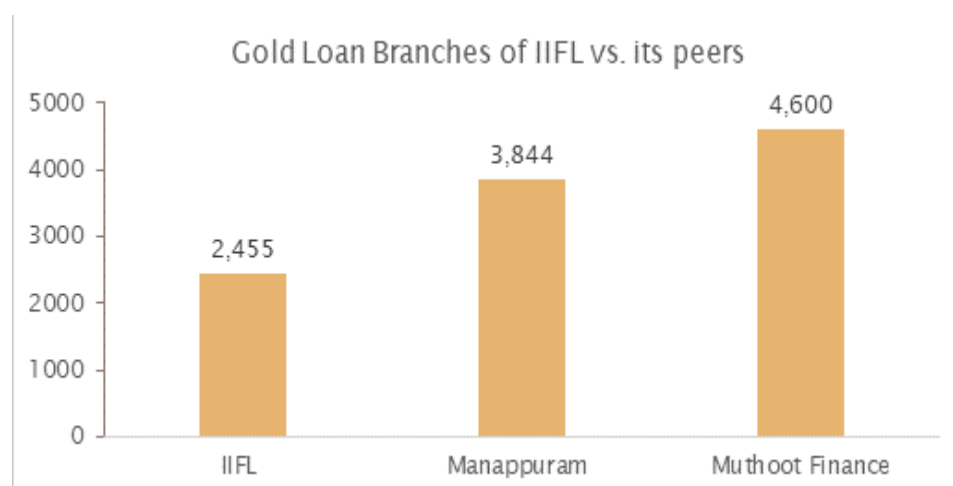
Peer comparison of IIFL Gold Business vs. Manappuram Finance & Muthoot Finance

Q1FY23	AUMs (Rs.bn)	Avg. ticket size of the loans ('000s)	Branches	States/Districts covered	Gold Tonnage
IIFL Finance	171	63000	2455	24 States / 1313 cities	54
Manappuram Finance	201	56600	3844	28 States	67
Muthoot Finance	567		4600	29 States	178

Source: Company, D&B Research

Chart 10: Gold loan AUMs of IIFL Finance vs. its peers

Source: Company, D&B Research

Chart 11: Branch network of IIFL gold Business vs. others

Source: Company, D&B Research

➤ Branch visit of gold loan branches at Dombivili & Badlapur

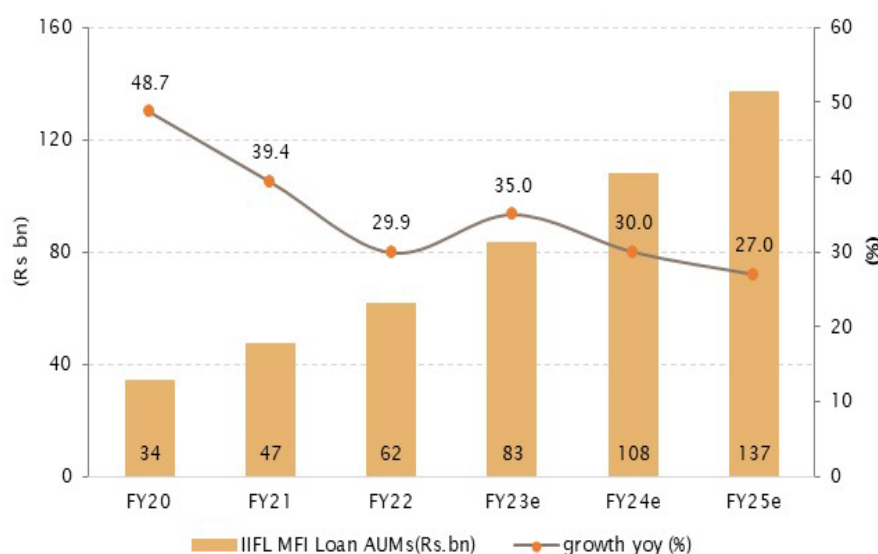
We interacted with the branch officers at the respective branches to understand the business from the ground levels. Important takeaways from the same are – gold loan branches are located near the railway stations or crowded market places where the company gets better visibility and easy walk-in of the customers. Typical customer are people having personal usage like - medical emergency, women who want money for school fees of the kids and agri & business purposes etc. Nearly ~20-25 customers visits the branches daily, of this, new customers having loan requirement is ~2-4 per day (of this, nearly 2-3 get converted). Loan disbursal happens at a very faster pace as compared to other banks i.e. within 30 minutes and customer service is better. Average ticket size of the loans <1 lac and interest rate offered is 18-21%.

➤ Micro-finance loans (12% share in total AUMs)

Micro-finance business is done via IIFL Samasta Finance (IIFLSF) Ltd which is wholly owned subsidiary of IIFL Finance. Incorporated in 2008, IIFLSF systematically important non-deposit taking NBFC. Total loans in this segment are at INR 62.8 bn spread across pan-India level forming 12% of the total AUMs. Lending in this segment is done to women's only and through Joint Liability Group (JLG). Here, small ticket size loans are given for income generation activities and target segment is rural & semi-urban self-employed women in Joint Liability Group. Typical borrower profile across states are for e.g. in Kunnur, women borrowers own 1-2 acres of tea plantations, loan is taken to planting tea in such areas. In Tirpur in Tamil Nadu, which is more of textile belt, small borrowers take loan to buy sewing machines to do last mile stitching of clothes to generate income.

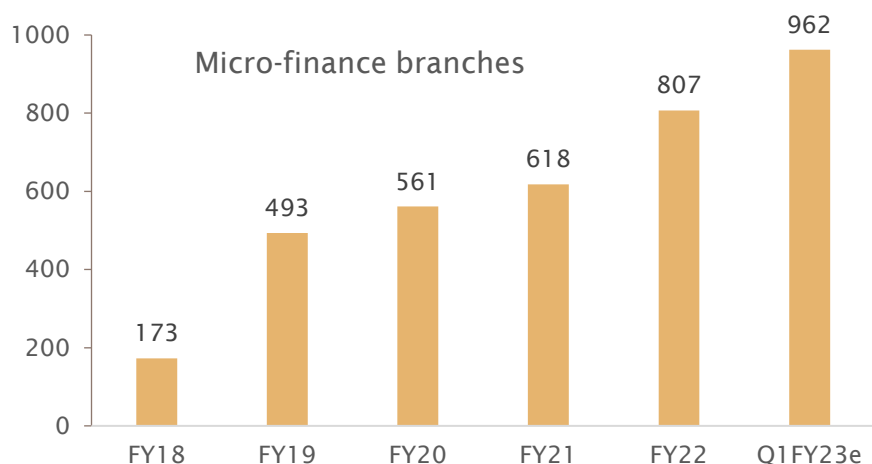
Active customer base is 17.9 lacs, loan tenure is ~2 yrs and presence is across 17 states and 303 districts. Avg. portfolio yield is at 22% and GNPA at 3.7% currently. In Q1FY23, disbursements had come off qoq (INR 13.7 bn in Q1 vs. INR 25 bn in Q4) due to new RBI regulations on MFI industry (i.e. before lending to any MFI customer entire household income needs to be checked and FOIR is supposed to be capped at 50%). **However, going forward in our view, growth in micro-finance loans will be strong which are likely to grow at 31% CAGR over FY22-25e.** Asset quality in this segment was also impacted due to COVID (GNPLs increased to 3.9% in FY22 vs. 1.8% in FY21), borrowers got more impacted in the second wave of COVID. Economy is stabilizing and GNPLs are likely to come down to sub 2% levels in FY23e.

Chart 12: Micro-finance loans will be strong which are likely to grow at 31% CAGR over FY22-25e



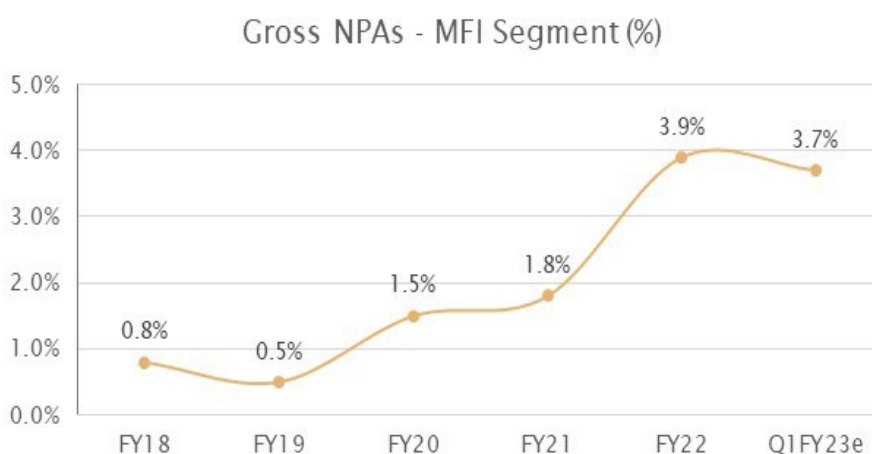
Source: Company, D&B Research

Chart 13: Micro-finance branches have grown by more than 5x in last 5 years time



Source: Company, D&B Research

Chart 14: NPLs had risen due to COVID, while the economy is stabilising now, NPLs are likely to come down to sub-2% levels in FY23



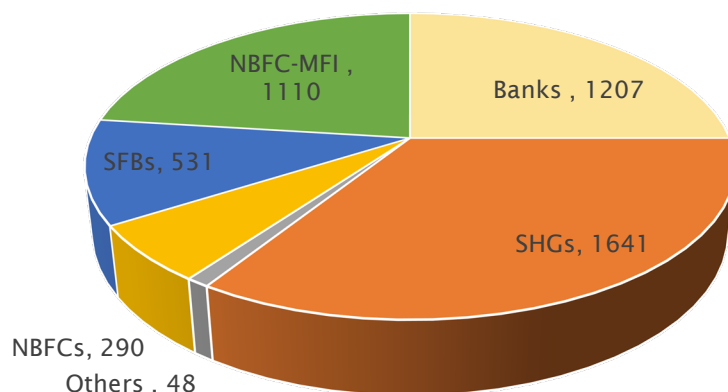
Source: Company, D&B Research

Recently, the company has increased its lending rate in MFI segment from 22% to 23-24% now given increase in the funding cost. In MFI AUMs, 88% share is of MFI loans and balance 12% is non-MFI loans. These non-MFI loans largely consists of MSME borrowers (average ticket size of the loans <1.5 lacs) which are more unsecured in nature and the company has soft collateral. Loan is drawn for business income generation and the average yield are at 23-24% levels.

Market opportunity in MFI space – Current MFI market in India is INR 2.6 trillion (FY21) for JLG loans which is anticipated to grow at CAGR of 40% through 2025, driven by women oriented MSMEs.

Chart 15: Total MFI universe is INR 4827 bn. Of this, MFI market for JLG group is ~INR 2.6 trillion

Total MFI universe is INR 4827 bn.

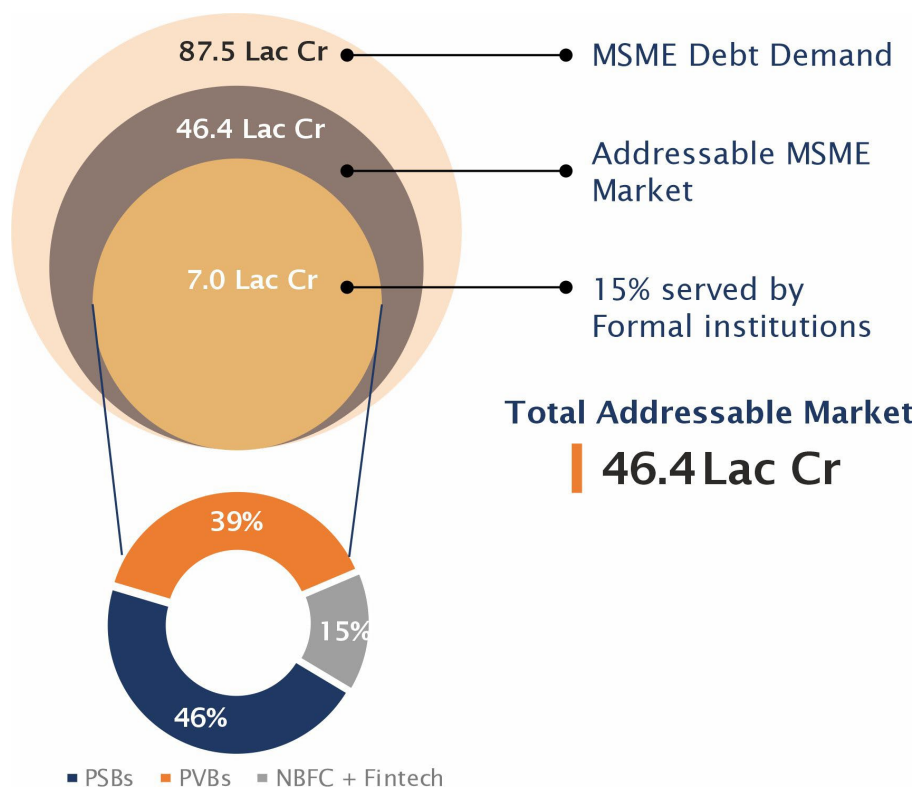


Source: Company, D&B Research

➤ Business Loans (15% of the total AUMs)

These are nothing but loans given to MSME borrowers for business purpose with average ticket size of the loans being at INR 5.9 lacs. Largely in this segment, automated disbursements happens based on analytical scorecards. For that, company has done partnership with leading fintechs with appropriate risk sharing arrangements. Current AUM size of business loans is INR 76.4 bn and is geographically widely distributed at pan-India level. Portfolio yield in this segment is at 16.7% levels.

Over the last 2-3 years, growth in business loans is largely muted for the reasons like 1) it witnessed higher NPLs at 6% in FY22 vs. 1.7% in FY18 due to COVID related factors & change in NPA recognition norms which made them slowdown the growth 2) strategically, average ticket size of the loans has been brought down from INR 49 lacs to ~6 lacs which could have resulted in slower growth. However, incrementally, from Q1FY23 quarter onwards, disbursements have picked up which were at INR 12.2 bn, up by ~3.5x on yoy basis.

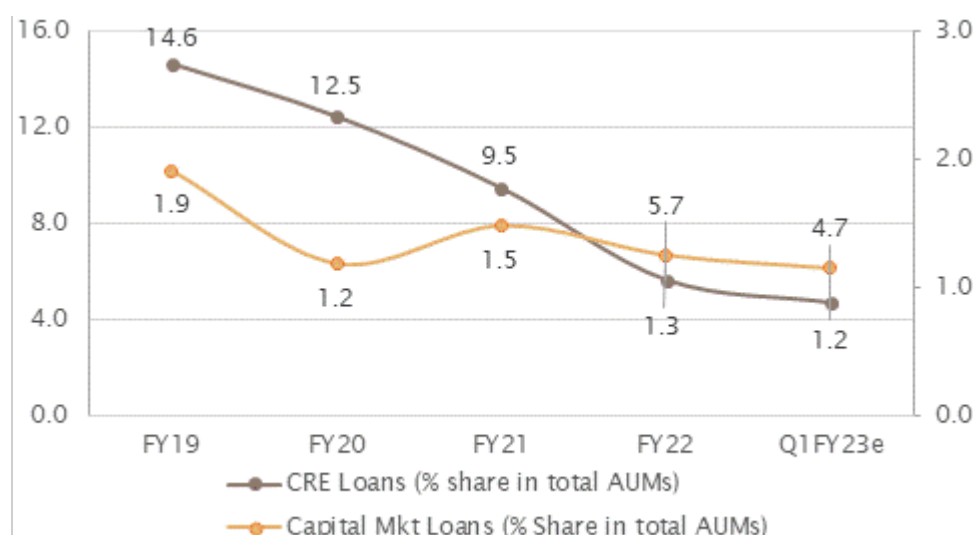
Chart 16: MSME Finance market opportunity

Source: PwC India, BCG: Credit Disrupted- Digital MSME Lending, SIDBI: Impact of Digital lending on MSME in India
IFC | World Bank Group | Financing India's MSM

➤ **There has been sizeable reduction in non-core commercial real estate (CRE) & capital market loans over the last 4-5 years**

CRE book largely includes construction finance book. However, over the last 3-4 years, there has been sizeable run-down on the CRE & capital market loans as it faced considered higher NPLs. As per our ground checks, the company faced higher NPLs in its CRE book which was for the reasons like COVID phase, slowdown in the economy and overall reduction in the demand scenario faced by builders. This book had high NPLs in FY19 with avg. NPLs being at 4.4% - now currently, partial book is sold to AIF worth INR 12.3 bn - while the balance book of INR 25 bn is having 0.2% NPL. This portfolio doesn't form the core businesses of the company currently and hence, there has sizeable run-down in the book in the last 3-4 yrs. However, it will continue to provide funding for completion of its already funded projects.

Chart 17: CRE and capital market loans has seen sizeable run-down over the years



Source: Company, D&B Research

➤ Direct assignment - profitable business model

IIFL Finance has one of the best return matrix, with ROE of 20.5% and ROA of 2.9% (Q1FY23). One of the reasons for higher return ratios is nearly >35% of loan book is either securitized or assigned or wherein the lending is done via co-lending model. Home loans and MFI loans are assigned or securitized which qualify for priority sector lending category for typical buyers of such loans viz. PSU and private banks. Gold loans assets are also securitized which are risk free assets for banks. Securitisation/Assignment also releases capital which enables the company to grow balance-sheet further.

In co-lending agreements, IIFL Finance has signed agreements with multiple banks (like ICICI Bank, SBI, Union Bank, CSB Bank, Central Bank of India, PNB, DCB Bank, ICICI Bank, Canara Bank, Standard Chartered Bank and Shivalik Small Finance Bank, DBS) and can be a major driver for loan-growth going forward.

➤ Stable to improving margin profile

The NBFC has increased the lending rates across its segments post increase in the repo rate in last 4-5 months. In home loans, lending rates have increased by 75-100 bps and in MFI segment 100-200 bps increase from 22% to 23-24% levels. On the assets side, nearly, its 50-60% of the loan book is variable in nature. While on the liability side, nearly 23-24% of the total borrowings are likely to come for repricing in current fiscal and the largely the reset happens once in a year. In our view, huge upward repricing in borrowings is not likely. Also, the NBFC has taken proactive decision to upfront repricing of assets. In addition to this, credit rating of the company has improved which shall enable to raise borrowings at relatively lower cost.

Hence, in our view, margins are likely to expand by 10 bps to 8% in FY23e as compared to 7.9% in FY22 (calculated)

Comparison of margin profile as compared to other NBFCs – IIFL enjoys one of the top quartile margins among the NBFCs having similar business interests

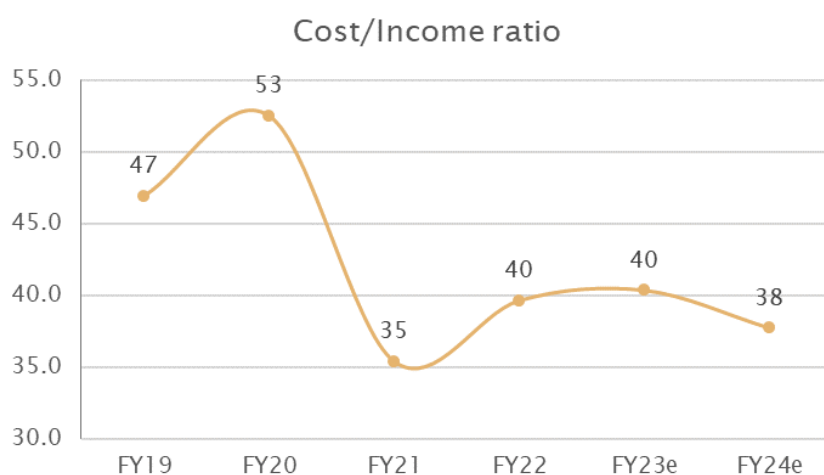
(Reported - FY22) (in %)	Muthoot Fin	IIFL Fin	Home First	Aptus	Can Fin Homes	Aavas Financiers
Spreads	8.1		5.6	9.2	2.6	5.8
Margins	7.0	7.0	5.4	9.2	3.6	8.2
Q1FY23	Muthoot Fin	IIFL Fin	Home First	Aptus	Can Fin Homes	Aavas Financiers
Spreads	7.9		5.8	9.2	2.7	5.8
Margins	6.6	7.8	6.4	-	3.6	7.7

Source: Company, D&B Research

Opex outlook

The company added nearly ~733 branches in FY22 taking total count to ~3296 in FY22 (3595 as on Q1FY23). Over the last 4 years, branch network has nearly doubled and it has created substantial reach and presence in across segments. In our view, operating leverage will kick in; cost/income ratio is likely to come down to from 40% in FY22 to 38% by FY24e.

Chart 18: We expect cost ratios to improve from current 40% to 38% by FY24e



Source: Company, D&B Research

➤ Asset quality outlook looks better going forward

In FY22, Gross NPLs had surged to 3.2% from 2.5% in FY21 (calculated) which was led by higher NPLs in business loans, micro-finance loans and home loans.

- Rise in NPLs in MFI book was largely due to COVID which is coming out of the woods now. In FY22, the company restructured micro-finance asset pool worth INR ~3 bn, which came out of restructuring in Q4FY22. ECL provisions on this stood at INR 2.5 bn i.e. nearly 84% of total restructured book is provided for as at FY22 end. Going forward, NPL outlook in this

segment is progressive given since MFI industry has recovered after COVID phase, hence, incremental slippages are likely to come down.

- There was rise in home loans gross NPLs to 2.6% in FY22 (from 1.5% reported in FY21) which was largely attributed to change in the RBI regulation, otherwise, excluding this impact FY22 gross NPLs were at 1.8%. Going forward, asset quality outlook in this segment is better, with no large accretion of NPLs expected
- Also, in FY22, GNPLs in construction & real estate book surged to 4.2% vs. 1.1% in FY21. Post this, CRE assets worth INR 10 bn were transferred to AIF fund in Q1FY23. After the sale, GNPL in current CRE portfolio has come down to 0.2% from 4.2% seen in FY22. However, company changed its strategy over the years and CRE doesn't form its core lending portfolio of the company; hence, CRE assets were reduced down considerably given higher NPLs. Current share of CRE & capital market book which stood at 16% in FY19 came down to 5% in Q1FY23.

In nutshell, going forward, we expect lower credit cost number of 200 bps in FY23e vs. 260 bps seen in FY22

Details of the provisions

Details of provisions (Rs.mn)					Provisions (%)				
Q1FY23	0-30 dpd	31-90 dpd	90+ dpd	Total Loan Book	Stage 1	Stage 2	Stage 3	As per RBI	As per ECL
Home Loans	106590	4150	2730	113470	1.7%	9.7%	32.6%	1,190	3,160
Business Loans	53960	6080	3340	63380	2.2%	14.8%	40.9%	1,190	3,430
Gold Loans	73040	6620	710	80360	0.8%	1.1%	17.0%	440	810
Micro-Finance Loans	49300	3950	2020	55280	2.2%	6.9%	66.7%	1,230	2,710
Construction & Real Estate	24680	140	50	24870	8.0%	6.4%	50.0%	440	2,020
Capital Market Finance	6040	30	0	6070	0.4%	0.4%	0.0%	20	30
Total	313610	20970	8850	343430	2.1%	7.9%	42.4%	4,510	12,150

Source: Company, D&B Research

NPL performance across segment (reported)

Gross NPLs (%)	FY18	FY19	FY20	FY21	FY22	Q1FY23
-Home Loans	0.7	0.8	1.4	1.5	2.6	2.4
-Business Loans	1.7	2.2	3.7	5.7	6	5.3
-Gold Loans	0.3	0.2	0.3	0.6	0.9	0.9
-Micro-Finance	0.8	0.5	1.5	1.8	3.9	3.7
-Construction & Real Estate	2.4	4.4	3.8	1.1	4.2	0.2
-Capital Market Finance	0	1.5	0	0	0	0
Gross NPLs - Total	1.6	1.7	2	2	3.2	2.6
Net NPLs (%)	0.6	0.5	0.8	0.9	1.8	1.5

Source: Company, D&B Research

Note: Discontinued business for the year FY18 & FY19 is not considered

Asset quality profile of consol entity

Ratios (%)	FY19	FY20	FY21	FY22	FY23e	FY24e	FY25e
Gross AUMs	3,45,100	3,79,510	4,46,880	5,12,100	6,38,436	7,96,475	9,72,083
O/S Loans	2,66,641	2,80,232	3,28,752	3,57,255	4,14,984	5,17,709	6,31,854
Gross NPAs (%) as a % AUMs	1.8	2.1	1.9	2.2	2.2	2.1	2.1
Gross NPAs (%) as a % of O/S	2.3	2.8	2.5	3.2	3.4	3.3	3.2
Slippages (%)	#DIV/0!	2.5	2	2.5	2.4	2.3	2.3
Net NPAs (%)	0.5	0.6	1	1.6	1.7	1.5	1.4
Provisions (%)	1.9	2.1	1.5	1.6	1.7	1.8	1.8
PCR (%)	79.6	75.5	60.9	48.7	49.9	53.2	56.7

Source: Company, D&B Research

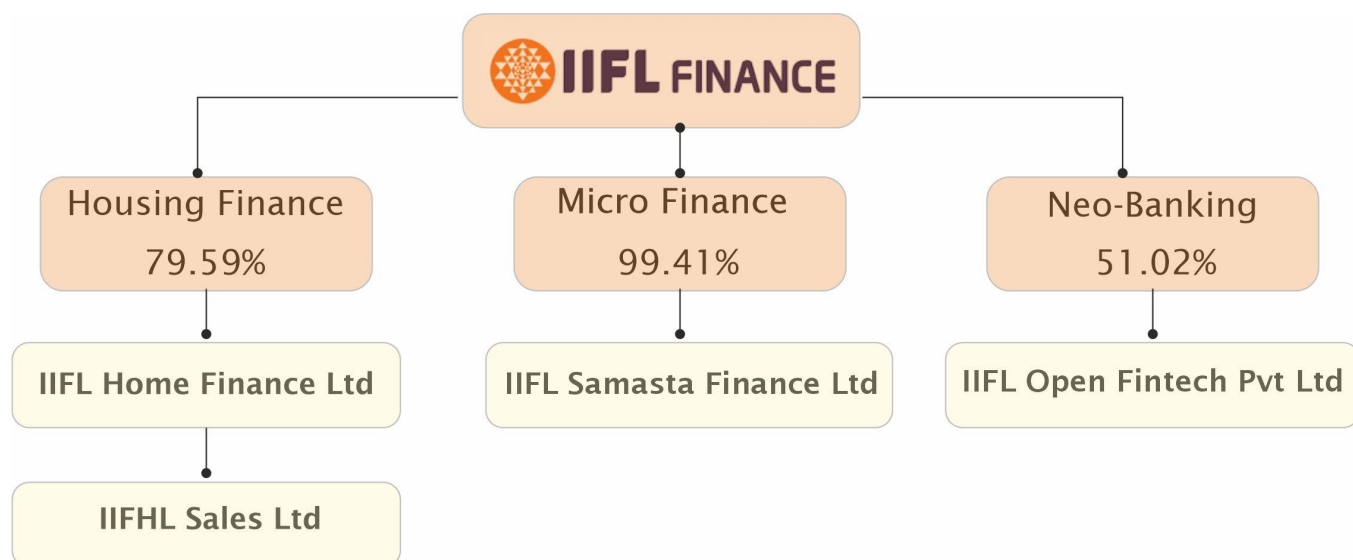
Note: Outstanding loans here are outstanding loans given in the balance-sheet

About the company

Incorporated in 1995 & promoted by Mr. Nirmal Jain & Mr. Venkataraman Rajamani, India Infoline was formed which was mainly into broking & equity research services initially. Later, it became integrated financial service group which provided under its gamut services like wealth & asset management, broking, financial product distribution, investment banking, institutional equities, realty & property advisory. In 2008, the company was renamed to IIFL Holdings. While financing & lending operations started into home loans, micro-finance loans etc in FY2008-09. Currently, home loan business is done via its subsidiary namely IIFL Home Finance, which was incorporated in 2009, providing affordable housing & small ticket sized loans services. Also, MFI business (currently IIFL Samasta Finance) was acquired by IIFL Finance in 2017, which is non-deposit taking non-banking – micro finance institution, which provides micro-finance loans to women via Joint Liability Group (JLG). In 2018-19, IIFL Group got de-merged into 3 separate entities namely – IIFL Finance (purely into lending business), IIFL Wealth (asset management business) and IIFL Securities (broking & securities business).

Currently, IIFL Finance is one of the leading NBFC which is into affordable housing finance loans, gold loans, business loans and MFI loans. It has nationwide presence with ~3595 branches. Its current AUM size is INR 527 bn, of this, 35% comprise of home loans, 32% is gold loans, 15% is business loans, 12% is MFI loans and rest 6% is construction & real estate and capital market finance loans (this portion of book is running down). In addition to this, it has JV with OPEN called IIFL OPEN Fintech Pvt. Ltd (51:49 partnership) which is 100th unicorn of India and the largest small & medium sized Neo-Bank offering services to consumers, micro-enterprises and retail customers.

Chart 19: Group companies



Source: Dalal & Broacha Research

Key Risks

- Domestic extreme high inflation scenario which might call for more monetary tightening
- Global risks
- Deeper slowdown in the economy leading to higher NPLs

Promoter Details

Mr. Nirmal Jain is the founder and Managing Director of the Company. He holds a PGDM degree from IIM, Ahmedabad, CA & Cost Accountant degree as well. Started his career in 1989 with Hindustan Unilever Limited. He founded IIFL Group in 1995. Over the last 26 years, he has led the expansion of the group, while remaining focused on financial services. The group through four listed entities, has leading presence in India's wealth & asset management, consumer lending, securities trading & discount broking spaces. With an impeccable track record of governance and growth, the group has attracted marquee investors and won accolades internationally.

Mr. R. Venkataraman is the Co-Promoter and Joint Managing Director of the Company. He holds Post Graduate Diploma in Management from Indian Institute of Management (IIM), Bangalore and Bachelor in Electronics and Electrical Communications Engineering from IIT Kharagpur. He joined the Company's Board in July 1999. He has been contributing immensely in the establishment of various businesses and spearheading key initiatives of the group over the past 20 years. He previously held senior managerial positions in ICICI Limited, including ICICI Securities Limited, their investment banking joint venture with J P Morgan of US and Barclays – BZW. He worked as an Assistant Vice President with G E Capital Services India Limited in their private equity division. He has a varied experience of more than 28 years in the financial services sector.

Team details of key personnel at IIFL Group

Designation	Name	Qualification
Promoter	Nirmal Jain	MBA, IIM-A, CA & Cost Accountant
Joint MD	R Venkataraman	MBA Bangalore, B-Tech, IIT Kharagpur
CFO	Rajesh Rajak	CA, CFA
Deputy CFO & Head IR	Kapish Jain	CA, CS
CEO - IIFL Home Finance	Monu Ratra	Qualified architect & MBA
CEO - IIFL Samasta	N Venkatesh	Strategic leadership program in micro-finance at Harvard
CRO	Sanjeev Srivastava	CA

Source: Company

Valuations

We like IIFL Finance as it has gained credible size & stature with current AUMs being at INR 528 bn; majorly into financing of home loans, gold loans, business loans & micro-finance loans. Its home loan business is 4x of Home First & Aptus and next only to Can Fin Homes. Gold loan business is almost equivalent to size of Manappuram Finance. More importantly, current AUM profile is more diversified, secured and retail driven and has less riskier assets. Retail assets currently form 95% of the total AUMs. Business is quite profitable & has decent return matrix; ROE of 20.5% and ROA of 2.9% (Q1FY23). One of the reasons for high ROE/ROA is –nearly 35-40% of the assets generated are securitized or assigned which frees up capital for future growth.

Going forward, we expect PAT to grow at 32% CAGR during FY22-25e led by higher asset growth of 24%, better margin profile and stable asset quality mix. We expect ROE/ROA to improve to 21.6%/3.1% in FY23e from 20%/2.7% in FY22 (calculated). Given superior profile on all the counts, it is trading at very undemanding valuations of 1.9x/1.5x/1.2x on FY23e/FY24e/FY25e ABV. While it peers are trading at much higher valuation multiples. What we more like about the business model of the company is – it is diversified and present in all high growth segments which are more retail driven assets. We re-initiate a coverage on IIFL Finance with revised TP of INR 483, according target multiple of 1.6x on FY25e ABV, upside of 36% from current levels.

Peer Comparison

	CMP (Rs)	ROE (%)			ROA (%)			ABV				P/ABV			EPS				
		FY22	FY23e	FY24e	FY22	FY23e	FY24e	FY22	FY23e	FY24e	FY25e	FY22	FY23e	FY24e	FY25e	FY22	FY23e	FY24e	FY25e
IIFL Finance	354	20.0	21.6	23.7	2.7	3.1	3.5	155	188	237	302	2.3	1.9	1.5	1.2	31	41	55	73
Muthoot Finance	1050	23.3	18.1	18.7	5.8	4.8	5.2	440	521	613	713	2.4	2.0	1.7	1.5	99	89	109	125
Manappuram	102	16.9	16.5	17.3	4.1	4.2	4.6	90	110	127	148	1.1	0.9	0.8	0.7	16	17	21	25
Aavas Financiers	2040	13.7	14.2	15.4	3.6	3.5	3.6	356	410	479	561	5.7	5.0	4.3	3.6	45	55	68	82
Home First Finance	856	12.6	13.7	14.8	3.9	4.0	3.9	171	196	228	268	5.0	4.4	3.7	3.2	21	26	33	41
Aptus Value Housing Finance	320	15.1	15.8	16.3	7.3	7.8	7.4	59	69	81	96	5.4	4.6	4.0	3.3	7	10	12	15

Source: Company, Dalal & Broach Research

Source: IIFL Finance, Home First, Aavas Financiers are D&B estimates while for others companies its consensus estimates

Quarterly Financials

(Rs.mn) (Consol)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
Interest Earned	12,486	13,499	13,539	14,592	14,357	15,160	16,018	16,414	16,771
Interest Expended	6,929	6,409	6,113	6,806	7,009	7,441	7,728	7,732	7,760
NII	5,557	7,091	7,426	7,786	7,348	7,719	8,291	8,682	9,011
Other Income	464	1,654	1,765	1,898	960	1,974	2,417	2,763	2,981
Total Income	6,021	8,744	9,191	9,685	8,308	9,692	10,708	11,444	11,992
Operating expenses	2,754	2,936	3,037	3,175	3,153	3,875	4,206	4,685	5,166
PPoP	3,267	5,808	6,154	6,509	5,155	5,817	6,502	6,760	6,826
Provisions & Contingencies	2,694	3,022	2,672	3,299	1,650	2,102	2,559	2,564	2,487
Profit Before Tax	573	2,787	3,482	3,210	3,505	3,715	3,943	4,196	4,339
Tax	255	660	797	728	847	800	844	987	1,042
Net Profit	318	2,127	2,685	2,483	2,658	2,916	3,099	3,210	3,297
Other Details	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
AUMs (Rs.mn)	3,83,350	4,08,430	4,22,640	4,46,880	4,31,610	4,42,490	4,67,810	5,12,100	5,27,620
<i>Loan Book - On Book</i>	<i>2,64,130</i>	<i>2,83,110</i>	<i>2,76,920</i>	<i>2,97,840</i>	<i>2,85,990</i>	<i>2,88,740</i>	<i>3,03,800</i>	<i>3,16,700</i>	<i>3,23,860</i>
<i>Loan Book - Off Book</i>	<i>1,19,220</i>	<i>1,25,320</i>	<i>1,45,720</i>	<i>1,49,040</i>	<i>1,45,620</i>	<i>1,53,750</i>	<i>1,64,010</i>	<i>1,95,400</i>	<i>2,03,760</i>
GOLD	94,900	1,13,860	1,22,120	1,31,490	1,32,620	1,36,000	1,46,060	1,62,280	1,71,300
HOME LOANS	1,26,180	1,28,910	1,34,450	1,44,390	1,47,470	1,56,980	1,64,950	1,77,270	1,86,180
BUSINESS LOANS	78,640	78,990	77,880	74,640	71,140	70,190	70,140	75,590	76,430
MICROFINANCE	32,220	34,600	39,200	47,380	43,860	45,340	51,780	61,550	62,760
CONSTRUCTION AND REAL ESTA	46,260	44,830	43,190	42,350	28,080	27,220	27,830	28,990	24,870
Capital market finance	5,150	7,240	5,800	6,630	8,420	6,760	7,040	6,420	6,070
Disbursements	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
GOLD	21,070	56,820	49,090	50,250	37,180	51,150	64,620	79,970	71,350
HOME LOANS	2,670	8,630	13,180	17,800	9,870	15,960	15,910	21,320	18,140
BUSINESS LOANS	2,120	5,150	6,630	5,030	3,580	5,260	9,700	13,850	12,180
MICROFINANCE	20	5,630	12,720	18,580	2,360	10,730	16,280	25,160	13,740
Ratios	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
ROA (%)	0.4	2.4	2.6	2.8	2.6	2.8	2.9	2.9	2.9
ROE (%)	2.5	17.1	18.4	20.7	19.7	20.5	20.7	21.1	20.5

Source: Company, Dalal & Broacha Research

Profit & Loss Statement

Consol (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
Interest Income	54,212	61,949	73,321	90,185	1,11,147
Interest expense	26,258	29,910	36,272	44,724	55,771
Net Interest Income	27,954	32,039	37,049	45,460	55,377
<i>Growth (%)</i>	<i>26</i>	<i>15</i>	<i>16</i>	<i>23</i>	<i>22</i>
Other Income	5,685	8,114	10,232	12,511	15,296
<i>Growth (%)</i>	<i>182</i>	<i>43</i>	<i>26</i>	<i>22</i>	<i>22</i>
Net Income	33,639	40,153	47,282	57,972	70,672
Employee benefits expense	7,231	9,307	10,563	11,297	11,468
Other expenses	4,674	6,611	8,517	10,571	13,124
Total expenses	11,904	15,918	19,080	21,868	24,591
<i>Growth (%)</i>	<i>-7</i>	<i>34</i>	<i>20</i>	<i>15</i>	<i>12</i>
PPOP	21,734	24,235	28,202	36,104	46,081
<i>Growth (%)</i>	<i>89</i>	<i>12</i>	<i>16</i>	<i>28</i>	<i>28</i>
Provisions	11,686	8,875	7,519	8,161	9,197
PBT	10,048	15,360	20,682	27,943	36,885
Exceptional Items	-	-	-	-	-
Tax	2,440	3,477	5,212	7,042	9,295
Tax Rate					
PAT	7,608	11,883	15,470	20,901	27,590
<i>Growth (%)</i>	<i>51</i>	<i>56</i>	<i>30</i>	<i>35</i>	<i>32</i>

Source: Company, Dalal & Broach Research

Balance Sheet

Consol (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
CAPITAL & LIABILITIES					
Capital	758	759	759	759	759
Reserves & Surplus	53,177	63,938	77,890	97,083	1,22,775
Networth	53,934	64,697	78,649	97,842	1,23,534
Borrowings	3,25,831	3,60,858	4,19,175	5,12,583	6,25,598
Other financial liabilities	26,904	33,546	43,151	53,083	71,048
Total Liabilities	406669	459102	540976	663508	820180
ASSETS					
Cash & Balances	47,841	81,569	64,666	70,911	96,068
Investments	820	12,664	16,746	17,364	18,050
Advances	3,35,332	3,36,929	4,14,984	5,17,709	6,31,854
Fixed Assets	1,043	1,505	1,806	2,168	2,601
Receivables	1,928	1,990	1,990	1,990	1,990
Other Assets	19,707	24,444	40,784	53,367	69,617
Total Assets	406669	459102	540976	663508	820180

Source: Company, Dalal & Broach Research

Ratios (%) (Consol)

Growth (%)	FY21	FY22	FY23e	FY24e	FY25e
NII growth (%)	26	15	16	23	22
PPOP growth (%)	89	12	16	28	28
PAT growth (%)	51	56	30	35	32
Loans & Advances growth (%)	18	0	23	25	22
AUMs (Rs.mn)	446880	512100	638436	796475	972083
AUM growth (%)	17.8	14.6	24.7	24.8	22.0

Spreads & margins (%)	FY21	FY22	FY23e	FY24e	FY25e
Yield on funds	15.2	15.2	15.8	16.4	16.4
Cost of funds	8.7	8.7	9.3	9.6	9.8
Spreads	6.6	6.5	6.5	6.8	6.6
Margins	7.9	7.9	8.0	8.2	8.2

Asset quality profile (%)	FY21	FY22	FY23e	FY24e	FY25e
Gross NPAs (Rs.mn)	8356	11472	14269	17078	20431
Net NPAs (Rs.mn)	3268	5884	7144	7994	8849
Gross NPAs (%) as a % of O/S loans	2.5	3.4	3.4	3.3	3.2
Net NPAs (%)	1.0	1.7	1.7	1.5	1.4
PCR (%)	60.9	48.7	49.9	53.2	56.7
Slippages (%)	1.9	2.4	2.5	2.3	2.3
Credit Cost (%)	3.8	2.6	2.0	1.8	1.6

Return Ratios (%)	FY21	FY22	FY23e	FY24e	FY25e
ROA (%)	2.0	2.7	3.1	3.5	3.7
ROE (%)	15.0	20.0	21.6	23.7	24.9

Per Share Data (Rs)	FY21	FY22	FY23e	FY24e	FY25e
No. of shares	379	380	380	380	380
EPS	20.1	31.3	40.8	55.1	72.7
BV	142.4	170.4	207.2	257.8	325.4
ABV	133.7	154.9	188.4	236.7	302.1

Valuations (%)	FY21	FY22	FY23e	FY24e	FY25e
P/E	17.7	11.4	8.7	6.5	4.9
P/BV	2.5	2.1	1.7	1.4	1.1
P/ABV	2.7	2.3	1.9	1.5	1.2

Source: Company, Dalal & Broach Research

Disclaimer

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